Answer Key — Exchange Concepts Knowledge Check, Variant 08

Correct statements are listed per question. Scoring: +1 per correct selection, -2 per incorrect selection, 0 for unselected, floor of 0 overall.

#	Correct	#	Correct
1	A, C, D	16	A, B, C
2	A, B, D	17	A, B, D, E
3	A, B, D	18	A, B, D, E
4	A, B, C, D	19	A, B, C, D
5	A, B, C, E	20	A, C, D, E
6	A, B, D	21	A, B, D, E
7	A, B, D, E	22	A, B, C, D
8	B, C, D	23	A, B, C, E
9	A, B, C, D	24	A, B, D, E
10	A, B, C, D	25	A, B, C, D
11	A, B, C, D	26	A, B, C, D
12	A, B, C, D	27	A, B, C, D
13	A, B, C, D	28	A, B, C, D
14	A, B, C, E	29	A, B, C, E
15	A, B, C, E	30	A, B, C, D, E

Notes on selected answers

- **Q1(B, E):** The company does not receive proceeds from secondary-market trades — only the selling investor does. Bonds, like shares, do trade on secondary markets before maturity so investors can exit early; E has this backwards.
- **Q2(C, E):** "Going short" comes from having *less* inventory than needed to cover a delivery obligation, not more. The Brady Commission's January 1988 report *preceded* and directly motivated NYSE's first circuit breakers later that year — E states the sequence in reverse.
- **Q3(C):** Demutualisation runs from member-owned mutual *to* for-profit public company, not the other way around.
- **Q6(C, E):** Iceberg replenishments receive a fresh timestamp at the back of the queue rather than retaining original priority. A combo order's legs are a single coordinated instruction — leg risk exists precisely *because* the legs are meant to execute together, contrary to E's "entirely independent" framing.

- **Q8(A, E):** With 3,000 shares fully consumed at the first level and only 1,000 of the 4,000-share order remaining, the sweep touches part of the *second* level only — it never reaches the third level at all, so A's "part of the third" is false. Iceberg reserves are explicitly cited as a reason total book depth can understate true available liquidity, contrary to E.
- **Q17(C):** A collar comparing against the *previous close* is the **static** collar; the **dynamic** collar is the one that compares against the most recent trade. The statement mislabels which collar does which.
- **Q18(C):** Reconnection/re-authentication is required after a **kill switch**, not after a mass cancel — a mass cancel leaves the participant's connection fully active throughout.
- **Q21(C):** Exchanges are legally required to file a Suspicious Transaction Report when their own surveillance flags abuse; filing is not contingent on a regulator first requesting one.
- **Q24(C):** A single central counter is exactly the design described as creating a single point of failure and a bottleneck, the opposite of C's claim.
- **Q28(E):** Pin risk is sharpest for positions that are *barely* in- or out-of-the-money at settlement — a deep in-the-money option carries essentially no pin risk, since there's no ambiguity about exercise.
- **Q29(D):** FTX is presented as the case where institutional separation *failed* — there was no independent CCP between FTX and its customers, the opposite of D's framing.